

S003 - Account Decision Record: Conditional Tier Upgrade and Settlement Terms

Decision Record | Business

Document ID	PRJ-S003-003	Seller ID	S003
Department	Business	Classification	CONFIDENTIAL
Owner	Aditya Verma	Created Date	2026-01-20
Related Scenario ID	SC-009	Document Type	Decision Record

1. Decision Summary

Field	Value
Decision ID	DR-2026-003
Seller	S003 - GreenCart Organics
Request date	2026-01-15
Decision date	2026-01-20
Decision owner	Aditya Verma, Account Manager
Consulted	Neha Gupta (Operations), settlement desk
Scenario	SC-009
Policy exception	Yes, against Seller Onboarding Policy
Status	Approved with conditions

Decision: approve a conditional Silver to Gold tier upgrade with phased milestones and a INR 3,00,000 security deposit. Settlement frequency moves from fortnightly to weekly only after milestone two is validated by Operations.

2. The Request

On 15 January 2026 Ananya Rao, co-founder of GreenCart Organics, requested:

- Immediate upgrade from Silver to Gold tier.
- Weekly settlement instead of fortnightly, effective immediately.
- Gold-tier commission banding applied from February 2026.

The stated reason was cash flow. GreenCart buys perishable stock on short payment terms from farm suppliers and sells on a subscription model. A fortnightly settlement cycle with a T+2 payout means up to 16 days between delivering goods and receiving funds, which the seller described as the binding constraint on its growth.

3. Policy Position

The Seller Onboarding Policy ties settlement frequency to a readiness assessment rather than to tier alone. Weekly settlement requires:

- Six consecutive cycles with no settlement dispute.
- Automated order and refund reconciliation at the seller's end.

- A verified failover configuration for fulfilment-critical integrations.
- Dispute rate below the category threshold.

At the time of the request GreenCart had completed four settlement cycles, had no automated reconciliation, and had an unverified failover configuration carried over as open item OI-1 from onboarding. It met the dispute rate condition comfortably.

So the request could not be approved as submitted. The question was whether to refuse, defer, or approve with conditions.

4. Options Considered

Option A - Refuse until all conditions are met

Predictable and consistent with policy. Estimated timeline to natural compliance was five to six months, which the seller indicated would force a reduction in its subscription base.

Option B - Approve in full as a commercial exception

Fast and commercially attractive. Rejected on risk grounds: weekly settlement on an account with no automated reconciliation and an unverified fulfilment failover concentrates platform exposure precisely where this seller is weakest.

Option C - Conditional upgrade with phased milestones

Grant the tier upgrade immediately, which carries commission and visibility benefits, but tie the settlement frequency change to specific, verifiable milestones. Secure the interim exposure with a deposit.

5. Decision and Rationale

Option C was approved on 20 January 2026.

The reasoning was that the tier upgrade and the settlement change carry different risks. Tier affects commission banding and merchandising treatment; if the seller underperforms, the platform can reverse it at the next review with no financial exposure. Settlement frequency affects how much unreconciled value the platform pays out before a dispute could surface, and that exposure is not reversible in the same way.

Separating the two allowed the commercial benefit to be delivered immediately while keeping the financial control intact.

The INR 3,00,000 deposit was sized against the largest single-cycle dispute observed on comparable accounts, not against GreenCart's cycle value. It is refundable once all milestones are validated.

6. Milestones and Conditions

Milestone	Requirement	Validator	Status
M1	Six consecutive cycles with no settlement dispute	Settlement desk	Met, 2026-04-10
M2	Automated order and refund reconciliation at seller	Operations	Not met
M3	Verified fulfilment failover with a live test	Operations	Met, 2026-07-15
M4	Dispute rate below category threshold for two quarters	Business	Met, 2026-07-01

Settlement frequency moves to weekly on validation of **M2**.

6.1 Milestone Status Commentary

M1 was met in April 2026. M4 was met in July 2026.

M3 was originally expected in March 2026 but was not validated until 15 July 2026, after the June label failover incident forced a live failover test. That incident is the clearest illustration of why this milestone existed: the failover configuration had been recorded as complete at onboarding but had never been exercised.

M2 remains outstanding as of September 2026. GreenCart's reconciliation work was deprioritised after the June incident and again after the September refund duplication event. Weekly settlement therefore remains unavailable, which the seller has accepted.

7. Conditions Attached

1. The deposit is held until all four milestones are validated.
2. Any settlement dispute resets M1 to zero.
3. Tier may be reviewed downward if order defect rate exceeds the Gold threshold for two consecutive months.
4. The exception is reviewed at each quarterly account review and expires on 31 January 2027 if M2 is not met.

8. Related Records

- Support ticket TKT-2026-0115-054 records the seller's formal request.
- Call CALL-2026-0116-004 records the discussion with the seller.
- The Seller Onboarding Policy defines the readiness conditions and the exception mechanism used here.
- The S003 onboarding project plan records open item OI-2, which this decision resolves.

9. Review Log

Date	Reviewer	Outcome
2026-04-14	Aditya Verma	M1 met; exception continued
2026-07-20	Aditya Verma, Neha Gupta	M3 and M4 met; M2 outstanding
2026-09-15	Aditya Verma	M2 still outstanding; expiry date confirmed